

NMLS SAFE MLO EXAM PREPARATION

Practice Exam 3 of 7

Scheduled for: Saturday, April 19, 2026

Focus: Dodd-Frank, BSA, SAFE Act + Underwriting Deep Dive

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	4 Hours	75% (90 correct)	April 24, 2026

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE Act, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. Under the Dodd-Frank Act, the ATR rule requires lenders to consider how many factors when assessing a borrower's ability to repay?

- 4 factors
- 6 factors
- 8 factors
- 12 factors

2. Under TILA, which of the following is the correct timing for the ARM disclosure booklet?

- At least 7 business days before consummation only
- Within 3 business days of receiving an application for an ARM and at least 7 business days before consummation
- At the time of application only
- At closing only

3. What does the CFPB's 'Know Before You Owe' mortgage disclosure rule (TRID) aim to accomplish?

- Eliminate the need for appraisals
- Simplify mortgage disclosures, ensure accuracy, and give consumers time to review before committing
- Reduce the number of loan products available
- Standardize mortgage interest rates

4. Under BSA/AML, what is 'structuring'?

- Designing a complex loan with multiple features
- Intentionally breaking up cash transactions into amounts under \$10,000 to avoid CTR filing requirements
- Organizing a real estate closing
- Creating a detailed financial plan for the borrower

5. The Fair Housing Act prohibits discrimination based on 'familial status.' This means a lender cannot discriminate against:

- Borrowers who are married
- Families with children under 18 and pregnant women
- Borrowers who live with relatives
- Single parents

6. Under ECOA, a co-applicant's income may be considered to qualify for a loan. Which statement is correct?

- A lender may refuse to count a co-applicant's part-time income
- Alimony, child support, and separate maintenance income must be considered if the borrower chooses to disclose it
- Income from public assistance must be excluded from the DTI calculation
- A co-applicant's income cannot be used if they are a non-occupant

7. What is the 'high-cost mortgage' threshold under HOEPA?

- Any loan with an interest rate above 10%
- A loan whose APR exceeds APOR (Average Prime Offer Rate) by more than a threshold amount, or whose fees exceed certain limits
- Any loan with a balloon payment
- Any non-conforming loan

8. What does RESPA prohibit regarding title insurance?

- Lenders from requiring title insurance
- Sellers from requiring buyers to use a specific title company as a condition of sale
- Title companies from charging for their services
- Borrowers from shopping for title insurance

9. The 'CFPB Supervisory Highlights' publication is used to:

- Announce new mortgage regulations
- Inform industry of key examination findings and UDAAP violations
- Publish mortgage interest rate benchmarks
- License mortgage companies

10. Under what circumstances does the right of rescission NOT apply to a refinance of a primary residence?

- When the rate is below market
- When the lender waives the right
- When the same lender is refinancing the borrower's existing loan with no new advance of funds
- There are no exceptions — it always applies to refinances

11. Which federal agency is responsible for supervising federally chartered banks for compliance with consumer protection laws?

- HUD
- CFPB (for large banks) and OCC (charter safety/soundness)
- Federal Trade Commission
- Department of Justice

12. Under TILA, which of the following is considered a 'closed-end' transaction?

- A HELOC with a 10-year draw period
- A standard 30-year fixed-rate mortgage with a fixed loan amount and repayment term
- A credit card secured by real estate
- A revolving home equity line

13. Under RESPA, what is the 'tolerances' framework for the Loan Estimate?

All fees on the LE must match the CD exactly

Fees are grouped into zero tolerance, 10% tolerance, and no tolerance categories based on the lender's control over the fee

All fees can change by up to 25% from LE to CD

Only origination fees have tolerance limits

14. What is the 'Equal Credit Opportunity Act (ECOA) notice' requirement for approved credit applications?

No notice is required for approvals

For approved applications, the lender must inform the applicant of their ECOA rights in writing within 30 days

The lender must provide a reason for approval

The lender must provide the credit score used

15. Which of the following is a requirement of HMDA reporting for covered institutions?

Reporting only approved loans

Reporting all applications including denials, withdrawals, and approvals

Reporting only loans that actually close

Reporting only loans exceeding \$100,000

16. Under TILA, what information must be included in a mortgage advertisement that contains the down payment amount?

Only the down payment amount is needed

The annual percentage rate (APR) and repayment terms, when triggering terms are stated

Only the interest rate

The lender's NMLS ID number

17. When is a lender required to provide an appraisal copy to the borrower under ECOA?

Only if the borrower requests it within 30 days of loan denial

Automatically, no later than 3 business days before consummation or promptly upon completion

Only if the loan is denied

Only for FHA and VA loans

18. Under RESPA, the escrow account analysis must be performed at least:

Monthly

Annually

Every 2 years

Quarterly

19. Which agency enforces HMDA?

Department of Housing and Urban Development (HUD)
The institution's primary federal regulator (OCC, FDIC, Federal Reserve, NCUA) and the CFPB
Department of Justice only
FHFA

20. What is the right of rescission 'notice' requirement under TILA?

No formal notice is required — the right exists automatically
The lender must provide two copies of the Notice of Right to Cancel to each borrower with the right
One copy of the notice for the entire household is sufficient
The notice only needs to be provided verbally

21. The SAFE Act specifically defines a 'residential mortgage loan' as a loan secured by:

Any real property
A dwelling (1-4 family residential property used as the borrower's primary residence)
Commercial property only
Investment properties with more than 4 units

22. Under the Homeowners Protection Act (HPA), when must a lender respond to a borrower's written request to cancel PMI?

Within 10 days
Within 30 days
Within 45 days
Within 60 days

23. What does 'APOR' stand for and how is it used?

Annual Percentage of Rate — the maximum rate allowed on any loan
Average Prime Offer Rate — used as a benchmark to identify high-cost, higher-priced, and HOEPA-covered loans
Adjusted Prime Origination Rate — the standard rate for conforming loans
Annual Prepayment Option Rate — the rate for early payoff loans

24. Under HMDA, which institutions are 'covered' and required to report?

All mortgage lenders in the U.S., regardless of size
Depository and non-depository institutions meeting specific location, asset size, and loan volume thresholds
Only banks with more than \$1 billion in assets
Only government-sponsored lenders

25. What is the primary purpose of the Bank Secrecy Act (BSA)?

To regulate bank interest rates
To require financial institutions to assist government in detecting and preventing money laundering and financial crimes
To protect borrowers' privacy
To establish maximum loan amounts

26. Under TILA, 'consummation' of a mortgage loan occurs when:

- The appraisal is completed
- The borrower becomes contractually obligated to the creditor — typically at loan closing when the note is signed
- The application is approved by the underwriter
- The loan is funded by the lender

27. Under ECOA, can a lender ask about a loan applicant's marital status on a mortgage application?

- Yes, in all states for any purpose
- Only in community property states, and only to determine the applicant's ability to repay
- No, never — it is a prohibited inquiry
- Only for FHA and VA loans

28. What is an 'anti-steering' disclosure required under Dodd-Frank?

- A disclosure that the MLO will not recommend any product
- A disclosure showing the borrower the loan types they qualify for and comparing costs to help ensure they are not being steered to a higher-cost product
- A disclosure that the lender does not discriminate
- A written consent from the borrower to be steered

Section 2: General Mortgage Knowledge

29. A borrower's gross monthly income is \$10,000. Their proposed PITI is \$3,200. Their back-end DTI including the PITI is 48%. What are their total monthly debts?

- \$4,200
- \$4,800
- \$4,600
- \$5,000

30. What is a 'HUD-approved housing counselor'?

- A HUD employee who approves FHA loans
- An independent counselor certified by HUD to provide housing and mortgage counseling to consumers
- A real estate agent who works with HUD properties
- A HUD inspector who assesses property condition

31. What is a 'co-signer' on a mortgage loan?

- Someone who shares equal ownership of the property
- A person who signs the note to assume responsibility for the debt but may not have ownership interest in the property
- A lender who co-finances the loan
- The borrower's spouse who lives in the home

32. What is a 'satisfaction of mortgage' or 'release of lien'?

- A document showing the loan has been approved
- A document recorded to show a mortgage has been paid off and the lien has been released
- A document confirming the property's title is clear
- A form showing the borrower's income has been satisfied

33. What does 'cash-out refinance' mean?

- Refinancing to eliminate the need for cash reserves
- Refinancing to access equity, resulting in the borrower receiving cash proceeds at closing
- A refinance where the borrower brings cash to close
- Selling the property for cash

34. What is an 'energy-efficient mortgage' (EEM)?

- A mortgage with a lower rate for LEED-certified homes
- A mortgage that allows borrowers to include the cost of energy-efficient improvements in their loan
- A government grant for green homes
- A loan only available for solar panel installation

35. What is a 'land contract' (also called contract for deed)?

- A lease on land only
- A seller-financing arrangement where the buyer makes payments to the seller, who retains legal title until the contract is paid off
- A purchase of land for future building
- A survey of land boundaries

36. A lender requires a borrower to have 3 months of PITI in reserves after closing. The PITI is \$2,400/month. How much must the borrower have in reserves?

- \$2,400
- \$4,800
- \$7,200
- \$9,600

37. What is 'cross-selling' in the mortgage context, and when does it become problematic?

- Offering complementary products that may benefit the borrower — never problematic
- Offering additional financial products when originating a mortgage — problematic when it is coercive or the products are not in the borrower's best interest
- Only problematic if the cross-sold products are insurance
- Never allowed under federal regulations

38. What is a 'deficiency judgment'?

- A court order requiring a borrower to improve their credit
- A court judgment against a borrower for the amount still owed after foreclosure proceeds don't cover the debt
- A judgment against a lender for improper lending
- An appraisal finding that a property has deficiencies

39. What is a 'reverse mortgage' and who typically uses it?

- A mortgage where the lender pays the borrower monthly
- A loan that allows homeowners (typically 62+) to convert home equity into cash without monthly payments, with the loan repaid when they move out, sell, or die
- A loan where the borrower pays down the principal and then receives it back
- A refinance where the interest rate decreases over time

40. What does 'subordination' mean in mortgage lending?

- A lender reducing the interest rate
- A junior lienholder agreeing to remain in a subordinate position when a new first mortgage is obtained (allowing a refinance)
- The process of paying off a second mortgage
- A borrower's income being subordinate to their debts

41. What is a 'quitclaim deed'?

- A deed guaranteeing clear title
- A deed that transfers whatever interest the grantor has in a property, without any title warranties
- A deed used only in divorces
- A deed for properties in foreclosure

42. What is the 'Federal Funds Rate' and how does it affect mortgage rates?

- The rate banks charge each other for overnight loans; directly sets all mortgage rates
- The rate banks charge each other for overnight loans; influences short-term rates but affects long-term mortgage rates indirectly through its impact on the economy
- The rate the Fed charges consumers directly
- The rate set for all conforming mortgages

43. Under a 'graduated payment mortgage' (GPM), payments:

- Decrease over time as the loan is paid down
- Start low and increase at predetermined intervals, which may cause initial negative amortization
- Are equal for the first 5 years, then balloon
- Are tied to an index and adjust monthly

44. What does 'debt consolidation' through a cash-out refinance involve?

- Having the lender pay off all debts directly
- Using proceeds from a cash-out refinance to pay off higher-interest debts (like credit cards), potentially lowering the overall monthly payment burden
- Combining two mortgages into one without accessing equity
- Having the seller pay off the buyer's debts at closing

45. A '203(k) loan' is a specialized FHA product used for:

- Investment properties only
- Purchasing or refinancing AND rehabilitating/improving a property simultaneously
- Senior citizen housing only
- Energy-efficiency upgrades only

46. What is 'recasting' a mortgage?

- Changing the interest rate without refinancing
- Applying a large lump-sum principal payment to reduce future monthly payments without refinancing
- Starting the loan term over from the beginning
- Converting from an ARM to a fixed rate

47. What does 'PMI cancellation at 80% LTV' mean under the HPA?

- PMI is automatically cancelled when LTV falls to 80%
- Borrowers may REQUEST PMI cancellation when LTV reaches 80% based on the original value and original amortization schedule, if they have a good payment history
- PMI is cancelled immediately when the loan is funded at 80% LTV
- The lender must cancel PMI at 80% LTV without any request

48. What is 'private label' or 'non-agency' mortgage-backed securities (MBS)?

- MBS issued by Fannie Mae and Freddie Mac
- MBS issued by private financial institutions, not backed by government-sponsored enterprises or government guarantee
- MBS with a private insurance policy
- MBS for commercial real estate only

49. What is the maximum seller concession allowed for a VA loan?

- 3% of the purchase price
- 4% of the purchase price for specific items, plus reasonable and customary fees
- 6% of the purchase price
- No limit on seller concessions for VA loans

50. What is a 'pre-qualification' and how does it differ from a 'pre-approval'?

They are the same thing — different lenders use different terms

A pre-qualification is an informal assessment without verification; a pre-approval involves verification of income, credit, and assets

A pre-qualification is a firm commitment; a pre-approval is less certain

A pre-qualification requires a full application; a pre-approval does not

51. What is a 'HUD-1 Settlement Statement' used for today?

Required for all residential mortgage closings

Only for reverse mortgage (HECM) transactions and some other non-TRID transactions

Required only for FHA loans

No longer used at all

52. What does 'TRID' stand for?

Title, Registry, Insurance, and Disclosure

TILA-RESPA Integrated Disclosure

Total Rate, Interest, and Down payment

Transfer, Registration, and Insurance Disclosure

53. When must a lender provide the 'Your Home Loan Toolkit' booklet to loan applicants?

At closing only

Within 3 business days of receiving an application for a purchase money mortgage

Only for first-time homebuyers

Only for FHA and VA loans

54. What is 'flood insurance' and when is it required for mortgage loans?

Insurance required for all homeowners in the US

Federal flood insurance required when the property is in a federally designated Special Flood Hazard Area (SFHA)

Insurance required when the LTV exceeds 90%

Insurance required only for VA loans near water

55. What is a 'correspondent lender'?

A lender that corresponds (communicates) with Fannie Mae

A lender that originates and funds loans using their own capital, then sells them to larger investors or banks

A bank that only lends in one geographic area

A lender that only offers correspondent (communication) banking

56. What is a 'mortgage broker' versus a 'mortgage banker'?

A mortgage broker lends their own money; a mortgage banker uses investor funds

A mortgage broker connects borrowers with lenders and is paid a fee but does not fund the loan; a mortgage banker originates and funds loans with their own capital

Both provide the same services — the terms are interchangeable

A mortgage broker works for banks; a mortgage banker works independently

Section 3: Loan Origination Activities

57. What is a 'warehouse line of credit'?

- A line of credit for construction projects
- A short-term credit facility used by mortgage bankers to fund mortgage loans before they are sold on the secondary market
- A credit line secured by warehouse inventory
- A line of credit for property rehabilitation

58. What is a 'wet signature' in mortgage closings?

- A signature applied while the ink is still wet from a stamp
- An original ink signature on a physical document, as opposed to an electronic signature
- A signature on a document relating to flood insurance
- A signature provided in the presence of a notary

59. What is 'simultaneous closing' in a purchase transaction?

- When two loans close on the same day for the same borrower
- When a purchase transaction and the sale of the buyer's current home close at the same time, coordinated to avoid bridge financing
- When two buyers jointly close on the same property
- A closing that happens instantaneously

60. What is an 'open-end mortgage'?

- A mortgage with no fixed payoff date
- A mortgage secured by the property that allows the borrower to borrow up to the original mortgage amount again as the loan is paid down (like a HELOC structure)
- A mortgage open to any borrower
- An ARM with unlimited adjustment capacity

61. What is 'dual agency' and why is it relevant to mortgage lending?

- A mortgage broker representing both the lender and borrower simultaneously — generally prohibited in this context
- In real estate, where a single agent represents both buyer and seller; in mortgage context, it raises conflict of interest concerns when one company provides both real estate and mortgage services
- Two different loan officers sharing a single application
- A loan with two equal co-borrowers

62. What is a 'Truth in Lending' (TIL) disclosure box?

- A secure container for loan documents
- A standardized box on the Loan Estimate/Closing Disclosure showing key terms: APR, finance charge, amount financed, and total of payments
- A disclosure specific to California
- The interest rate lock agreement

63. What is the significance of a 'rate sheet' in mortgage origination?

- A document the borrower fills out to request a rate
- A pricing guide used by MLOs showing available interest rates and points for different loan types, terms, and credit profiles on a given day
- A legal document binding the lender to a specific rate
- A regulatory document required by TRID

64. What is a 'prepayment penalty'?

- A fee paid to obtain a lower rate
- A fee charged by a lender when a borrower pays off the loan early or makes large principal payments within a specified period
- A penalty for late payments
- A fee for the lender to prepare payoff documents

65. In the closing process, what is the role of a 'title company'?

- To lend money directly to borrowers
- To conduct a title search, issue title insurance, act as a neutral escrow agent, and coordinate the closing
- To appraise the property
- To verify the borrower's employment

66. What is 'property flipping' fraud in mortgage lending?

- Legally buying and reselling a renovated property for profit
- An illegal scheme where a property is purchased and quickly resold at an inflated price using a fraudulent appraisal to defraud the lender
- Refinancing a property multiple times
- Converting a residential property to commercial use

67. What is 'churning' in mortgage lending?

- Processing many loans quickly
- Repeatedly refinancing borrowers to generate origination fees without meaningful benefit to the borrower
- Investing mortgage proceeds in the stock market
- Rotating borrowers between different loan programs

68. What ethical standard applies to an MLO regarding the privacy of borrower information?

- No special obligation — information can be freely shared
- The MLO must protect the borrower's non-public personal information (NPI) per the Gramm-Leach-Bliley Act and ethical standards, only using it for the transaction's purpose
- Information can be shared with family members
- Only credit scores must be kept confidential

69. What is the appropriate action when an MLO suspects that the property's value has been improperly influenced by the buyer or seller (appraisal fraud)?

- Complete the transaction since the appraiser is responsible
- Report the concern to the lender's compliance department and potentially file a SAR
- Confront the appraiser directly
- Order a second appraisal at the borrower's expense

70. What is 'reverse redlining'?

- The opposite of redlining — lending generously in minority areas
- Specifically targeting minority or low-income borrowers with high-cost, predatory loan products
- Offering lower rates in previously redlined areas to compensate
- Refusing to lend in previously overserved areas

71. An MLO receives a referral from their brother-in-law, who is a real estate agent. The agent expects reciprocal loan referrals. This is:

- Acceptable as it is a family relationship
- A violation of RESPA Section 8 if there is an exchange of value or mutual referral arrangement
- Acceptable as long as no money changes hands
- Required by NMLS to disclose in annual renewal

72. What is 'air loans' (or fictitious loans) as a mortgage fraud scheme?

- Loans for properties in locations with high air quality
- Fraudulent loans created entirely from fabricated documents for properties that do not exist or are not being purchased
- Loans secured by aircraft
- Loans with no collateral requirements

73. An MLO who 'cherry-picks' borrowers by only working with certain racial or ethnic groups (even if the intent is to help that group) is:

- Committing legal affirmative action
- Engaging in a form of discrimination that violates the Fair Housing Act and ECOA by treating borrowers differently based on protected class
- Following ethical practices of serving their community
- Exempt from fair lending laws if the intent is beneficial

74. What are an MLO's obligations when advertising mortgage products?

- No regulatory requirements apply to mortgage advertising
- Comply with Regulation Z advertising requirements, state advertising rules, and ensure all claims are truthful and not misleading
- Only disclose the interest rate when advertising
- Only advertise through approved channels

75. What is 'identity fraud' in the mortgage context?

- Using a fake property address on an application
- Using another person's personal information without their consent to obtain a mortgage
- Providing false employment information
- Using a different name professionally

76. What does it mean to 'cure' a TRID tolerance violation?

- Correcting an error in the appraisal
- Refunding to the borrower the amount by which a fee exceeded the applicable tolerance within 60 calendar days after consummation
- Correcting a borrower's credit score
- Cancelling the loan application

77. What is 'mortgage servicing fraud'?

- Originating a loan with false information
- Misapplying payments, improper force-placed insurance, unauthorized fees, or wrongful foreclosure practices by loan servicers
- Selling a mortgage-backed security at an incorrect price
- Filing inaccurate HMDA data

78. A consumer claims they were charged undisclosed fees by an MLO. Where should they file a complaint?

- Only with their state court
- With the state mortgage regulatory authority and/or the CFPB
- With Fannie Mae or Freddie Mac
- With their local real estate association

79. Under state licensing law, what is a 'net branch' arrangement?

- A branch office of a bank
- An arrangement where an MLO operates as an independent entity under a lending company's license, which is often regulated or prohibited due to compliance concerns
- A satellite office within the same city
- A branch with less than 5 employees

80. What is 'dual licensure' for MLOs?

- Holding an MLO license in two states simultaneously
- Holding both an MLO license and a real estate license — which some states restrict or regulate
- Having both a state license and federal registration
- Holding licenses as both a mortgage banker and broker

81. Under NMLS, when must an MLO disclose a new criminal charge or conviction?

- Only at annual renewal
- Within 30 days of the charge or conviction, as a material change requiring prompt updating of NMLS records
- Only if convicted
- At the next renewal cycle

82. What is the significance of the 'NMLS Unique Identifier' (NMLS ID) for consumers?

- It indicates the MLO's credit score
- It allows consumers to verify the MLO's license status, history, and any regulatory actions through NMLS Consumer Access
- It shows the MLO's years of experience
- It is the MLO's tax identification number

83. Under most state laws, who is responsible for ensuring MLOs are properly licensed before allowing them to originate loans?

- Only the individual MLO
- Both the employing mortgage company and the individual MLO — the company must verify and sponsor only properly licensed MLOs
- Only the state licensing authority
- Only Fannie Mae and Freddie Mac

84. What is the primary purpose of state MLO licensing beyond the SAFE Act minimum requirements?

- To generate state revenue through license fees
- To provide additional consumer protections specific to that state's mortgage market, including state-specific education, testing, and compliance requirements
- To restrict competition among mortgage companies
- To set maximum interest rates in the state

85. What does 'inactive status' versus 'expired status' mean for an MLO license?

- They mean the same thing — the MLO cannot originate
- Inactive means no current employer sponsorship (can be reactivated quickly); expired means the renewal deadline was missed (requires reinstatement process)
- Inactive means the MLO failed CE; expired means they passed
- Only expired licenses require action — inactive licenses are still usable

86. Can a federally registered MLO (bank employee) originate loans for a separate company they own?

- Yes, as long as they register the second company
- Generally no — registered MLOs' registration is tied to their federally regulated employer and they cannot use it to operate an independent mortgage business
- Yes, as long as they disclose it on their NMLS record
- Only for loans under \$100,000

Section 4: Ethics

87. What is the purpose of the 'Mortgage Call Report' (MCR) submitted through NMLS?

- A report to the borrower about their loan status
- A quarterly or annual financial report submitted by non-bank mortgage companies to state regulators through NMLS, showing loan volume, revenue, and financial condition
- A report to the Federal Reserve about mortgage rates
- A report about fraud activities

88. The Dodd-Frank Wall Street Reform and Consumer Protection Act was signed into law in:

- A. 2008
- B. 2009
- C. 2010
- D. 2012

89. Under BSA/AML requirements, which statement is TRUE about 'tipping off' a subject of a SAR?

- A. Tipping off is encouraged to give the person a chance to explain
- B. Tipping off is a federal crime that can result in criminal penalties for the institution and individual
- C. Tipping off is only prohibited for banks, not non-bank lenders
- D. Tipping off is permissible if it occurs after the SAR is filed

90. Under TILA, a 'closed-end' credit transaction means:

- A. The credit line can be drawn repeatedly up to a maximum limit
- B. The consumer receives a fixed amount of credit that is repaid over a specific schedule with a fixed end date
- C. The loan can only be used for closed (completed) properties
- D. The transaction is closed to new borrowers after 30 days

91. Which of the following is an example of 'structuring' under the Bank Secrecy Act?

- A. A borrower who makes separate \$4,000 cash deposits on multiple days to avoid triggering the \$10,000 CTR requirement
- B. A borrower who organizes their finances into multiple accounts
- C. A lender who structures loan payments over time
- D. A title company that structures closing costs into multiple fees

92. Under Dodd-Frank, the Financial Stability Oversight Council (FSOC) was created to:

- A. Regulate individual mortgage loans
- B. Identify and respond to systemic risks to the U.S. financial system
- C. Replace the Federal Reserve
- D. Provide consumer financial education

93. Under RESPA, the term 'settlement service' includes all of the following EXCEPT:

- A. Title insurance
- B. Appraisal services
- C. The real estate agent's sales commission
- D. Home inspection services paid by the buyer

94. Which of the following describes a 'piggyback loan' or '80-10-10' structure?

- A. Three separate loans for a single property purchase
- B. A first mortgage for 80% LTV, a second mortgage for 10%, and a 10% cash down payment
- C. A single loan split between two lenders
- D. A loan structure exclusive to FHA properties

95. The 'note rate' on an ARM during the initial fixed-rate period is typically:

- A. Equal to the fully indexed rate
- B. Below the fully indexed rate (the 'teaser' rate)
- C. Always the same as a comparable fixed-rate loan
- D. Set by the Federal Reserve

96. A 'blanket mortgage' covers:

- A. Only the primary residence of the borrower
- B. Multiple properties under a single mortgage lien
- C. All personal property in addition to real estate
- D. Properties in multiple states

97. The 'principal' in a mortgage refers to:

- A. The interest accrued over the loan term
- B. The original loan amount borrowed, which decreases as payments are made
- C. The borrower's primary residence
- D. The lender's profit on the transaction

98. Which of the following is TRUE about USDA Rural Development loan income limits?

- A. There are no income limits for USDA loans
- B. Income limits are set at 115% of the area median income (AMI) for the household size
- C. Borrowers must earn below 80% of AMI to qualify
- D. Income limits only apply to the borrower, not household members

99. Which of the following describes a 'construction-to-permanent' loan?

- A. A loan that converts from a commercial to a residential mortgage
- B. A loan that finances construction and then converts to a long-term mortgage upon completion
- C. A loan from a construction company to a homebuilder
- D. A mortgage that requires the property to be newly constructed

100. The 'three-day rule' for the Closing Disclosure (CD) under TRID requires the borrower to receive the CD at least 3 business days before consummation. For CD delivery, 'business days' means:

- A. Monday through Friday only
- B. All calendar days except Sundays and federal public holidays
- C. All calendar days including weekends
- D. Only federal working days

101. Under Fannie Mae guidelines, a borrower's monthly debt ratio is calculated using:

- A. Net monthly income after taxes
- B. Gross monthly income before deductions
- C. Monthly income after retirement contributions
- D. Annualized quarterly income divided by 12

102. A 'junior lien' or 'subordinate mortgage' is one that:

- A. Has priority over the first mortgage in foreclosure
- B. Is recorded after and has a lower lien priority than the first mortgage
- C. Is a smaller loan than the first mortgage
- D. Is only available to first-time homebuyers

103. A 'good faith estimate' of charges was replaced under TRID by the:

- A. Closing Disclosure
- B. Loan Estimate
- C. HUD-1 Settlement Statement
- D. RESPA Booklet

104. Under TRID's 'zero tolerance' category, an increase in which of the following fees from the Loan Estimate to the Closing Disclosure is NOT allowed?

- A. Title insurance premiums
- B. Recording fees
- C. Lender origination charges
- D. Transfer taxes

105. An MLO who submits a loan application knowing it contains inaccurate employment information is guilty of:

- A. A minor compliance violation requiring a correction only
- B. Mortgage fraud — a federal felony
- C. An administrative error that can be corrected at closing
- D. A TRID disclosure violation

Section 5: Uniform State Content (SAFE Act & Licensing)

106. Under UDAP, an act is considered 'unfair' if it:

- A. Results in any consumer complaint to the CFPB
- B. Causes or is likely to cause substantial injury to consumers that they cannot reasonably avoid and that is not outweighed by countervailing benefits
- C. Is technically legal but unpopular
- D. Results in higher fees than competitors charge

107. A mortgage company that targets elderly homeowners with high-equity homes for reverse mortgages they cannot understand or use effectively is engaging in:

- A. Legitimate senior-targeted marketing
- B. Predatory lending — exploiting a vulnerable population
- C. Required FHA marketing practices
- D. Fair and appropriate outreach

108. An MLO who is also a licensed real estate agent may:

- A. Never represent a client in both capacities on the same transaction due to per se conflicts of interest
- B. Potentially represent a client in both capacities if state law permits and both roles are properly disclosed
- C. Always be compensated for both roles without any limitations
- D. Only act as one or the other, never both in any state

109. Under the SAFE Act, the minimum background check for state MLO licensure includes:

- A. Credit check only
- B. Criminal background check via fingerprinting through the FBI and state criminal repository
- C. Reference letters from former employers
- D. Drug testing

110. When an MLO's license is 'suspended,' it means:

- A. The license has been permanently revoked
- B. The license is temporarily inactive — the MLO cannot originate loans during the suspension period
- C. The MLO can continue originating with supervisor oversight
- D. The license renewal has been delayed but the MLO can continue working

111. NMLS record-keeping requirements for state-licensed MLOs generally require retention of loan application and related documents for a minimum of:

- A. 1 year
- B. 2 years
- C. 3 years
- D. 5 years

112. Under the SAFE Act, a person qualifies as a 'registered' (rather than 'licensed') MLO when they:

- A. Have an NMLS number
- B. Are employed by a federally regulated depository institution (bank, credit union, Farm Credit System)
- C. Have completed all state licensing requirements
- D. Have been in the industry for more than 5 years

113. Which of the following conditions would NOT automatically disqualify an applicant from MLO licensure under the SAFE Act?

- A. Felony conviction for drug trafficking within the past 7 years
- B. Felony conviction involving fraud or breach of trust at any time
- C. Misdemeanor conviction for a non-financial crime 10 years ago
- D. Mandatory lifetime bar from association with financial institutions

114. The continuing education requirement under the SAFE Act for a licensed MLO who is approved in multiple states is:

- A. 8 hours per state per year
- B. 8 hours total (federal minimum), with additional state-specific requirements possible
- C. 20 hours per year for multi-state licensees
- D. No CE required once licensed in one state

115. A state regulator conducting an examination of a licensed mortgage company discovers that an MLO originated 15 loans without having a valid license for 6 months. The company may face:

- A. No penalty if the MLO was previously licensed
- B. Fines, restitution orders, and potential license action against the company for failure to supervise
- C. Only an informal warning letter
- D. A maximum fine of \$100 per day

116. Under NMLS standards, an MLO must update their MU4 record when which of the following occurs?

- A. Change in personal email address
- B. A felony charge is filed (not yet convicted)
- C. Change in personal phone number only
- D. Annual birthday

117. Under the CRA (Community Reinvestment Act), which type of institution is subject to CRA evaluation?

- A. All mortgage companies regardless of size
- B. Federally insured depository institutions (banks and savings institutions)
- C. Insurance companies and REITs
- D. Mortgage brokers and non-bank lenders

118. Under TRID, which of the following events would trigger the need for a revised Loan Estimate?

- A. A borrower's credit score drops by 5 points after application
- B. A borrower changes the loan from adjustable-rate to fixed-rate
- C. The appraiser charges \$50 more than estimated
- D. The title company changes the escrow officer

119. The 'underwriting' process in mortgage lending involves:

- A. Advertising loan products to potential borrowers
- B. Evaluating the creditworthiness of the borrower and the collateral to determine loan approval and terms
- C. Disbursing loan funds at closing
- D. Servicing the loan after closing

120. Which of the following best describes 'dual tracking' in mortgage servicing?

- A. Offering two different loan products simultaneously
- B. Simultaneously pursuing foreclosure while a borrower is seeking a loan modification or other loss mitigation option
- C. Processing two applications for the same borrower
- D. A marketing strategy using two separate advertising channels

Section 1: Federal Mortgage-Related Laws

Q1: Under the Dodd-Frank Act, the ATR rule requires lenders to consider how many factors when assessing a borrower's ability to repay?

- A. 4 factors
- B. 6 factors
- ✓ C. 8 factors
- D. 12 factors

Explanation: The ATR rule requires lenders to consider and verify at least 8 factors: (1) current income/assets, (2) current employment, (3) credit history, (4) monthly payment for the subject mortgage, (5) monthly payments on simultaneous loans, (6) monthly mortgage-related obligations, (7) other DTI obligations, and (8) DTI or residual income.

Q2: Under TILA, which of the following is the correct timing for the ARM disclosure booklet?

- A. At least 7 business days before consummation only
- ✓ B. Within 3 business days of receiving an application for an ARM and at least 7 business days before consummation
- C. At the time of application only
- D. At closing only

Explanation: For ARM loans, Regulation Z requires providing the ARM disclosure (Consumer Handbook on ARMs) within 3 business days of receiving the application AND again at least 7 business days before consummation. This allows adequate time to review the ARM features.

Q3: What does the CFPB's 'Know Before You Owe' mortgage disclosure rule (TRID) aim to accomplish?

- A. Eliminate the need for appraisals
- ✓ B. Simplify mortgage disclosures, ensure accuracy, and give consumers time to review before committing
- C. Reduce the number of loan products available
- D. Standardize mortgage interest rates

Explanation: TRID ('Know Before You Owe') was designed to simplify and improve mortgage disclosures by combining previously required forms into two clearer documents (Loan Estimate and Closing Disclosure), ensure accuracy of quoted costs, and give consumers adequate time to review.

Q4: Under BSA/AML, what is 'structuring'?

- A. Designing a complex loan with multiple features
- ✓ B. Intentionally breaking up cash transactions into amounts under \$10,000 to avoid CTR filing requirements
- C. Organizing a real estate closing
- D. Creating a detailed financial plan for the borrower

Explanation: Structuring (also called 'smurfing') is intentionally breaking up cash deposits or transactions into amounts below \$10,000 to avoid triggering Currency Transaction Report (CTR) filing. Structuring is itself a federal crime under the BSA, regardless of the legality of the underlying funds.

Q5: The Fair Housing Act prohibits discrimination based on 'familial status.' This means a lender cannot discriminate against:

- A. Borrowers who are married
- ✓ **B. Families with children under 18 and pregnant women**
- C. Borrowers who live with relatives
- D. Single parents

Explanation: Familial status under the Fair Housing Act protects: families with children under 18 (including pregnant women and those in the process of acquiring custody of children under 18). Lenders cannot refuse to make loans or impose different terms based on whether the household includes minor children.

Q6: Under ECOA, a co-applicant's income may be considered to qualify for a loan. Which statement is correct?

- A. A lender may refuse to count a co-applicant's part-time income
- ✓ **B. Alimony, child support, and separate maintenance income must be considered if the borrower chooses to disclose it**
- C. Income from public assistance must be excluded from the DTI calculation
- D. A co-applicant's income cannot be used if they are a non-occupant

Explanation: ECOA requires lenders to consider alimony, child support, and separate maintenance income if the applicant chooses to disclose it as a source of income. The lender must evaluate whether it is likely to continue, but cannot exclude it simply because of its source.

Q7: What is the 'high-cost mortgage' threshold under HOEPA?

- A. Any loan with an interest rate above 10%
- ✓ **B. A loan whose APR exceeds APOR (Average Prime Offer Rate) by more than a threshold amount, or whose fees exceed certain limits**
- C. Any loan with a balloon payment
- D. Any non-conforming loan

Explanation: HOEPA (as amended by Dodd-Frank) designates a mortgage as 'high-cost' if: the APR exceeds APOR by more than 6.5% for first mortgages (higher for smaller loans) or 8.5% for junior mortgages, OR total points and fees exceed 5% of the loan amount (higher for smaller loans).

Q8: What does RESPA prohibit regarding title insurance?

- A. Lenders from requiring title insurance
- ✓ **B. Sellers from requiring buyers to use a specific title company as a condition of sale**
- C. Title companies from charging for their services
- D. Borrowers from shopping for title insurance

Explanation: RESPA Section 9 prohibits sellers from requiring buyers to purchase title insurance from a specific company as a condition of the sale. Buyers must be free to choose their title insurance provider. Violation carries penalties including liability to the buyer for up to three times the title insurance charges.

Q9: The 'CFPB Supervisory Highlights' publication is used to:

- A. Announce new mortgage regulations
- ✓ B. Inform industry of key examination findings and UDAAP violations
- C. Publish mortgage interest rate benchmarks
- D. License mortgage companies

Explanation: The CFPB publishes Supervisory Highlights to share examination findings with the industry, alerting companies to practices that examiners have found to be UDAAP violations or other regulatory concerns. This helps companies understand what the CFPB considers problematic.

Q10: Under what circumstances does the right of rescission NOT apply to a refinance of a primary residence?

- A. When the rate is below market
- B. When the lender waives the right
- ✓ C. When the same lender is refinancing the borrower's existing loan with no new advance of funds
- D. There are no exceptions — it always applies to refinances

Explanation: One exception to the right of rescission is a refinance by the same creditor of the same property with no new advancement of funds. If a borrower simply changes terms without receiving new money from the same lender, the right of rescission may not apply, though lenders often still provide the notice.

Q11: Which federal agency is responsible for supervising federally chartered banks for compliance with consumer protection laws?

- A. HUD
- ✓ B. CFPB (for large banks) and OCC (charter safety/soundness)
- C. Federal Trade Commission
- D. Department of Justice

Explanation: For banks with over \$10 billion in assets, the CFPB has primary supervisory authority for consumer protection compliance. The OCC, FDIC, and Federal Reserve have supervisory authority for institutions they charter/regulate, with the CFPB taking the lead on consumer protection for large institutions.

Q12: Under TILA, which of the following is considered a 'closed-end' transaction?

- A. A HELOC with a 10-year draw period
- ✓ B. A standard 30-year fixed-rate mortgage with a fixed loan amount and repayment term
- C. A credit card secured by real estate
- D. A revolving home equity line

Explanation: A closed-end credit transaction involves a fixed loan amount disbursed at one time, with a defined repayment schedule. A standard fixed-rate mortgage is closed-end. HELOCs are open-end credit transactions because they allow the borrower to draw and repay funds repeatedly up to a credit limit.

Q13: Under RESPA, what is the 'tolerances' framework for the Loan Estimate?

- A. All fees on the LE must match the CD exactly
- ✓ **B. Fees are grouped into zero tolerance, 10% tolerance, and no tolerance categories based on the lender's control over the fee**
- C. All fees can change by up to 25% from LE to CD
- D. Only origination fees have tolerance limits

Explanation: TRID groups fees into three categories: (1) Zero tolerance: fees that cannot increase at all (e.g., origination charges, transfer taxes); (2) 10% tolerance: fees that can increase in aggregate by no more than 10% (e.g., lender-required third-party services where borrower can shop); (3) No tolerance: fees that can change without limit (e.g., prepaid interest, hazard insurance).

Q14: What is the 'Equal Credit Opportunity Act (ECOA) notice' requirement for approved credit applications?

- ✓ **A. No notice is required for approvals**
- B. For approved applications, the lender must inform the applicant of their ECOA rights in writing within 30 days
- C. The lender must provide a reason for approval
- D. The lender must provide the credit score used

Explanation: ECOA requires notices primarily for adverse action (denial, counteroffer, termination). For straightforward approvals on the terms requested, no specific ECOA notice is required. The notice requirements focus on situations where the applicant is denied or the terms differ from what was requested.

Q15: Which of the following is a requirement of HMDA reporting for covered institutions?

- A. Reporting only approved loans
- ✓ **B. Reporting all applications including denials, withdrawals, and approvals**
- C. Reporting only loans that actually close
- D. Reporting only loans exceeding \$100,000

Explanation: HMDA requires reporting of all covered applications, including: originated loans, approved but not accepted, denied, withdrawn, file closed for incompleteness, and purchased loans. This comprehensive reporting allows analysis of lending patterns including denial rates.

Q16: Under TILA, what information must be included in a mortgage advertisement that contains the down payment amount?

- A. Only the down payment amount is needed
- ✓ **B. The annual percentage rate (APR) and repayment terms, when triggering terms are stated**
- C. Only the interest rate
- D. The lender's NMLS ID number

Explanation: Regulation Z's advertising rules require that when an advertisement includes a 'triggering term' (like down payment amount, specific rate, or specific payment), all required terms must be disclosed: APR, repayment terms, down payment, and loan amount. Failure to include all required terms when using triggering terms is a violation.

Q17: When is a lender required to provide an appraisal copy to the borrower under ECOA?

- A. Only if the borrower requests it within 30 days of loan denial
- ✓ **B. Automatically, no later than 3 business days before consummation or promptly upon completion**
- C. Only if the loan is denied
- D. Only for FHA and VA loans

Explanation: Under ECOA (Regulation B), lenders must automatically provide applicants with a copy of any appraisal or written valuation no later than 3 business days before consummation for closed-end transactions, or promptly upon completion or 3 days before account opening for open-end credit.

Q18: Under RESPA, the escrow account analysis must be performed at least:

- A. Monthly
- ✓ **B. Annually**
- C. Every 2 years
- D. Quarterly

Explanation: RESPA requires servicers to perform an annual escrow account analysis to ensure the correct amount is being collected. The analysis determines if the account has a surplus, shortage, or deficiency, and any adjustments must be made as required by RESPA guidelines.

Q19: Which agency enforces HMDA?

- A. Department of Housing and Urban Development (HUD)
- ✓ **B. The institution's primary federal regulator (OCC, FDIC, Federal Reserve, NCUA) and the CFPB**
- C. Department of Justice only
- D. FHFA

Explanation: HMDA is enforced by the institution's primary federal regulator and by the CFPB. For large banks and non-bank mortgage companies, the CFPB has supervisory authority. State regulators also enforce HMDA for state-chartered institutions.

Q20: What is the right of rescission 'notice' requirement under TILA?

- A. No formal notice is required — the right exists automatically
- ✓ **B. The lender must provide two copies of the Notice of Right to Cancel to each borrower with the right**
- C. One copy of the notice for the entire household is sufficient
- D. The notice only needs to be provided verbally

Explanation: TILA requires lenders to provide TWO copies of the Notice of Right to Cancel to EACH borrower who has the right to rescind. This is so each borrower can retain a copy and return the other to exercise the right of rescission.

Q21: The SAFE Act specifically defines a 'residential mortgage loan' as a loan secured by:

- A. Any real property
- ✓ **B. A dwelling (1-4 family residential property used as the borrower's primary residence)**
- C. Commercial property only
- D. Investment properties with more than 4 units

Explanation: Under the SAFE Act, a 'residential mortgage loan' is a loan primarily for personal, family, or household use, secured by a mortgage or deed of trust on a 1-4 family residential dwelling. This triggers the MLO licensing requirements for individuals who originate such loans.

Q22: Under the Homeowners Protection Act (HPA), when must a lender respond to a borrower's written request to cancel PMI?

- A. Within 10 days
- B. Within 30 days
- ✓ C. Within 45 days
- D. Within 60 days

Explanation: The HPA requires lenders to respond to a borrower's written PMI cancellation request within 45 days. The lender must either cancel the PMI or provide written notice of why it cannot be cancelled (e.g., LTV hasn't reached 80% or there are delinquencies).

Q23: What does 'APOR' stand for and how is it used?

- A. Annual Percentage of Rate — the maximum rate allowed on any loan
- ✓ B. Average Prime Offer Rate — used as a benchmark to identify high-cost, higher-priced, and HOEPA-covered loans
- C. Adjusted Prime Origination Rate — the standard rate for conforming loans
- D. Annual Prepayment Option Rate — the rate for early payoff loans

Explanation: APOR (Average Prime Offer Rate) is published weekly by the CFPB based on survey data of prime mortgage rates. It is used to determine: (1) higher-priced mortgage loans (HPML, APR exceeds APOR by 1.5%+ for first liens), (2) HOEPA/high-cost loans (exceeds APOR by 6.5%+), and other regulatory thresholds.

Q24: Under HMDA, which institutions are 'covered' and required to report?

- A. All mortgage lenders in the U.S., regardless of size
- ✓ B. Depository and non-depository institutions meeting specific location, asset size, and loan volume thresholds
- C. Only banks with more than \$1 billion in assets
- D. Only government-sponsored lenders

Explanation: HMDA applies to depository institutions (banks, savings associations, credit unions) and non-depository lenders (mortgage companies) that meet CFPB thresholds related to: location (maintain branch in metropolitan area), asset size, loan origination volume, and federal backing or connection.

Q25: What is the primary purpose of the Bank Secrecy Act (BSA)?

- A. To regulate bank interest rates
- ✓ B. To require financial institutions to assist government in detecting and preventing money laundering and financial crimes
- C. To protect borrowers' privacy
- D. To establish maximum loan amounts

Explanation: The BSA (1970) requires financial institutions to maintain records and file reports that help the government detect and prevent money laundering, tax evasion, and other financial crimes. Key requirements include CTRs, SARs, and Customer Identification Programs (CIP).

Q26: Under TILA, 'consummation' of a mortgage loan occurs when:

- A. The appraisal is completed
- ✓ **B. The borrower becomes contractually obligated to the creditor — typically at loan closing when the note is signed**
- C. The application is approved by the underwriter
- D. The loan is funded by the lender

Explanation: Under TILA, consummation occurs when the borrower becomes legally obligated on the credit transaction — typically when they sign the promissory note at closing. This is distinct from 'settlement' (RESPA), which occurs when funds are disbursed.

Q27: Under ECOA, can a lender ask about a loan applicant's marital status on a mortgage application?

- A. Yes, in all states for any purpose
- ✓ **B. Only in community property states, and only to determine the applicant's ability to repay**
- C. No, never — it is a prohibited inquiry
- D. Only for FHA and VA loans

Explanation: Under ECOA, lenders may inquire about marital status only in limited circumstances: (1) in community property states, (2) for loans where the spouse will be a permitted user, or (3) when the applicant is relying on community property or the spouse's income. For most conventional loans in non-community property states, marital status cannot be asked.

Q28: What is an 'anti-steering' disclosure required under Dodd-Frank?

- A. A disclosure that the MLO will not recommend any product
- ✓ **B. A disclosure showing the borrower the loan types they qualify for and comparing costs to help ensure they are not being steered to a higher-cost product**
- C. A disclosure that the lender does not discriminate
- D. A written consent from the borrower to be steered

Explanation: Dodd-Frank's anti-steering rules require that MLOs offer borrowers loan types they qualify for and document this. The rules prohibit compensation arrangements that incentivize MLOs to steer borrowers to higher-cost products when they qualify for something better. Some lenders provide written documentation of loan options offered.

Section 2: General Mortgage Knowledge

Q29: A borrower's gross monthly income is \$10,000. Their proposed PITI is \$3,200. Their back-end DTI including the PITI is 48%. What are their total monthly debts?

- A. \$4,200
- ✓ **B. \$4,800**
- C. \$4,600
- D. \$5,000

Explanation: Back-end DTI = Total monthly debts / Gross income. $48\% = \text{Total debts} / \$10,000$. Total debts = \$4,800. This includes the \$3,200 PITI plus \$1,600 in other debts.

Q30: What is a 'HUD-approved housing counselor'?

- A. A HUD employee who approves FHA loans
- ✓ **B. An independent counselor certified by HUD to provide housing and mortgage counseling to consumers**
- C. A real estate agent who works with HUD properties
- D. A HUD inspector who assesses property condition

Explanation: HUD-approved housing counselors are independent professionals certified and approved by HUD to provide free or low-cost housing counseling to consumers. Counseling topics include budgeting, understanding mortgage options, avoiding foreclosure, and fair housing rights.

Q31: What is a 'co-signer' on a mortgage loan?

- A. Someone who shares equal ownership of the property
- ✓ **B. A person who signs the note to assume responsibility for the debt but may not have ownership interest in the property**
- C. A lender who co-finances the loan
- D. The borrower's spouse who lives in the home

Explanation: A co-signer (or co-borrower without title) signs the promissory note and is responsible for the debt but may not be on the title to the property. This is different from a co-borrower on the title who both owns the property and is responsible for the loan.

Q32: What is a 'satisfaction of mortgage' or 'release of lien'?

- A. A document showing the loan has been approved
- ✓ **B. A document recorded to show a mortgage has been paid off and the lien has been released**
- C. A document confirming the property's title is clear
- D. A form showing the borrower's income has been satisfied

Explanation: A satisfaction of mortgage (also called release of lien, discharge, or reconveyance) is a document recorded in the county recorder's office to show that a mortgage has been paid in full and the lender's lien on the property has been released.

Q33: What does 'cash-out refinance' mean?

- A. Refinancing to eliminate the need for cash reserves
- ✓ **B. Refinancing to access equity, resulting in the borrower receiving cash proceeds at closing**
- C. A refinance where the borrower brings cash to close
- D. Selling the property for cash

Explanation: In a cash-out refinance, the borrower refinances for more than their current loan balance, receiving the difference as cash. For example, if a home is worth \$400,000, the current balance is \$200,000, and the borrower refinances for \$280,000, they receive \$80,000 in cash (minus closing costs).

Q34: What is an 'energy-efficient mortgage' (EEM)?

- A. A mortgage with a lower rate for LEED-certified homes
- ✓ **B. A mortgage that allows borrowers to include the cost of energy-efficient improvements in their loan**
- C. A government grant for green homes
- D. A loan only available for solar panel installation

Explanation: An Energy-Efficient Mortgage (EEM) allows borrowers to include the cost of energy-efficient improvements (insulation, windows, HVAC) in their mortgage. The concept is that lower utility costs justify a higher loan amount. FHA and VA offer formal EEM programs.

Q35: What is a 'land contract' (also called contract for deed)?

- A. A lease on land only
- ✓ B. A seller-financing arrangement where the buyer makes payments to the seller, who retains legal title until the contract is paid off
- C. A purchase of land for future building
- D. A survey of land boundaries

Explanation: A land contract (contract for deed, installment sale contract) is a seller-financing arrangement where the seller retains legal title while the buyer makes payments and gets equitable title. When the contract is fully paid, the seller delivers the deed to the buyer.

Q36: A lender requires a borrower to have 3 months of PITI in reserves after closing. The PITI is \$2,400/month. How much must the borrower have in reserves?

- A. \$2,400
- B. \$4,800
- ✓ C. \$7,200
- D. \$9,600

Explanation: Reserves = Required months × Monthly PITI = 3 × \$2,400 = \$7,200. Reserves are verified liquid assets remaining AFTER the down payment and closing costs are paid. They must be accessible funds like checking, savings, or certain investment accounts.

Q37: What is 'cross-selling' in the mortgage context, and when does it become problematic?

- A. Offering complementary products that may benefit the borrower — never problematic
- ✓ B. Offering additional financial products when originating a mortgage — problematic when it is coercive or the products are not in the borrower's best interest
- C. Only problematic if the cross-sold products are insurance
- D. Never allowed under federal regulations

Explanation: Cross-selling (offering additional products like insurance, investments) during mortgage origination can be problematic when it is coercive (implying loan approval depends on purchasing additional products) or when the products are not suitable for the borrower. Tying loan approval to the purchase of other products may violate UDAAP.

Q38: What is a 'deficiency judgment'?

- A. A court order requiring a borrower to improve their credit
- ✓ B. A court judgment against a borrower for the amount still owed after foreclosure proceeds don't cover the debt
- C. A judgment against a lender for improper lending
- D. An appraisal finding that a property has deficiencies

Explanation: After a foreclosure, if the property sale proceeds are insufficient to pay off the mortgage, the remaining balance is called a deficiency. In recourse loan states, the lender may pursue a deficiency judgment in court to collect this shortfall from the borrower personally.

Q39: What is a 'reverse mortgage' and who typically uses it?

- A. A mortgage where the lender pays the borrower monthly
- ✓ **B. A loan that allows homeowners (typically 62+) to convert home equity into cash without monthly payments, with the loan repaid when they move out, sell, or die**
- C. A loan where the borrower pays down the principal and then receives it back
- D. A refinance where the interest rate decreases over time

Explanation: A reverse mortgage (HECM when FHA-insured) allows homeowners 62+ to convert home equity to cash. No monthly payments are required — instead, the loan balance grows over time. The loan is repaid when the last borrower moves, sells, or dies.

Q40: What does 'subordination' mean in mortgage lending?

- A. A lender reducing the interest rate
- ✓ **B. A junior lienholder agreeing to remain in a subordinate position when a new first mortgage is obtained (allowing a refinance)**
- C. The process of paying off a second mortgage
- D. A borrower's income being subordinate to their debts

Explanation: Subordination is when a junior lienholder (like a HELOC or second mortgage lender) agrees to maintain their junior lien position when the first mortgage is refinanced. Without subordination, the new refinance would normally become subordinate to the existing second mortgage.

Q41: What is a 'quitclaim deed'?

- A. A deed guaranteeing clear title
- ✓ **B. A deed that transfers whatever interest the grantor has in a property, without any title warranties**
- C. A deed used only in divorces
- D. A deed for properties in foreclosure

Explanation: A quitclaim deed transfers whatever interest the grantor currently has in a property, without any warranties about title quality. It does not guarantee the grantor has any interest at all. Quitclaims are often used between family members, in divorces, and to clear title defects.

Q42: What is the 'Federal Funds Rate' and how does it affect mortgage rates?

- A. The rate banks charge each other for overnight loans; directly sets all mortgage rates
- ✓ **B. The rate banks charge each other for overnight loans; influences short-term rates but affects long-term mortgage rates indirectly through its impact on the economy**
- C. The rate the Fed charges consumers directly
- D. The rate set for all conforming mortgages

Explanation: The Federal Funds Rate is the rate at which banks lend to each other overnight. It directly influences short-term borrowing costs (like HELOCs) but influences long-term mortgage rates indirectly through its effect on investor expectations, inflation, and the economy. Long-term mortgage rates generally track the 10-year Treasury yield.

Q43: Under a 'graduated payment mortgage' (GPM), payments:

- A. Decrease over time as the loan is paid down
- ✓ **B. Start low and increase at predetermined intervals, which may cause initial negative amortization**
- C. Are equal for the first 5 years, then balloon
- D. Are tied to an index and adjust monthly

Explanation: A Graduated Payment Mortgage (GPM) starts with lower payments that increase at set intervals (e.g., 7.5% per year for 5 years). In early years, payments may be insufficient to cover interest, causing negative amortization. GPMs were more common in past decades but are less prevalent today.

Q44: What does 'debt consolidation' through a cash-out refinance involve?

- A. Having the lender pay off all debts directly
- ✓ **B. Using proceeds from a cash-out refinance to pay off higher-interest debts (like credit cards), potentially lowering the overall monthly payment burden**
- C. Combining two mortgages into one without accessing equity
- D. Having the seller pay off the buyer's debts at closing

Explanation: Debt consolidation through refinancing involves using cash from a cash-out refinance to pay off higher-interest debts (credit cards, personal loans). While monthly payments may decrease, this can be problematic if it extends shorter-term debt into a 30-year mortgage.

Q45: A '203(k) loan' is a specialized FHA product used for:

- A. Investment properties only
- ✓ **B. Purchasing or refinancing AND rehabilitating/improving a property simultaneously**
- C. Senior citizen housing only
- D. Energy-efficiency upgrades only

Explanation: FHA's 203(k) loan allows borrowers to finance both the purchase (or refinance) of a property AND the cost of rehabilitation/improvements in a single loan. It is designed for properties needing significant repairs that would otherwise be ineligible for standard financing.

Q46: What is 'recasting' a mortgage?

- A. Changing the interest rate without refinancing
- ✓ **B. Applying a large lump-sum principal payment to reduce future monthly payments without refinancing**
- C. Starting the loan term over from the beginning
- D. Converting from an ARM to a fixed rate

Explanation: Mortgage recasting (or re-amortization) occurs when a borrower makes a large principal reduction payment and asks the lender to recalculate the monthly payment based on the new, lower balance. The rate and term stay the same, but the monthly payment decreases. Not all loans allow recasting.

Q47: What does 'PMI cancellation at 80% LTV' mean under the HPA?

- A. PMI is automatically cancelled when LTV falls to 80%
- ✓ **B. Borrowers may REQUEST PMI cancellation when LTV reaches 80% based on the original value and original amortization schedule, if they have a good payment history**
- C. PMI is cancelled immediately when the loan is funded at 80% LTV
- D. The lender must cancel PMI at 80% LTV without any request

Explanation: Under the HPA, at 80% LTV (based on original value and original amortization schedule), borrowers have the RIGHT TO REQUEST cancellation — but the lender may require evidence of good payment history and current property value. Automatic cancellation occurs at 78% LTV.

Q48: What is 'private label' or 'non-agency' mortgage-backed securities (MBS)?

- A. MBS issued by Fannie Mae and Freddie Mac
- ✓ **B. MBS issued by private financial institutions, not backed by government-sponsored enterprises or government guarantee**
- C. MBS with a private insurance policy
- D. MBS for commercial real estate only

Explanation: Private label (non-agency) MBS are mortgage-backed securities issued by private financial institutions (banks, investment banks) rather than Fannie Mae, Freddie Mac, or Ginnie Mae. They are not government-guaranteed and typically carry higher yields but also higher risk.

Q49: What is the maximum seller concession allowed for a VA loan?

- A. 3% of the purchase price
- ✓ **B. 4% of the purchase price for specific items, plus reasonable and customary fees**
- C. 6% of the purchase price
- D. No limit on seller concessions for VA loans

Explanation: For VA loans, sellers can pay all reasonable and customary loan closing costs, plus an additional 4% 'concession' for items like funding fee, prepaid expenses, buydowns, and paying off debts. There is no dollar cap on reasonable closing costs the seller can pay.

Q50: What is a 'pre-qualification' and how does it differ from a 'pre-approval'?

- A. They are the same thing — different lenders use different terms
- ✓ **B. A pre-qualification is an informal assessment without verification; a pre-approval involves verification of income, credit, and assets**
- C. A pre-qualification is a firm commitment; a pre-approval is less certain
- D. A pre-qualification requires a full application; a pre-approval does not

Explanation: A pre-qualification is typically an informal estimate based on unverified information provided by the borrower. A pre-approval involves actual verification of the borrower's income, assets, and credit. A pre-approval is a more meaningful indicator of qualification and creditworthiness.

Q51: What is a 'HUD-1 Settlement Statement' used for today?

- A. Required for all residential mortgage closings
- ✓ **B. Only for reverse mortgage (HECM) transactions and some other non-TRID transactions**
- C. Required only for FHA loans
- D. No longer used at all

Explanation: The HUD-1 was replaced by the Closing Disclosure for most TRID-covered transactions (closed-end residential mortgages, effective October 2015). However, the HUD-1 is still used for reverse mortgages (HECMs) and some other transactions not covered by TRID.

Q52: What does 'TRID' stand for?

- A. Title, Registry, Insurance, and Disclosure
- ✓ **B. TILA-RESPA Integrated Disclosure**
- C. Total Rate, Interest, and Down payment
- D. Transfer, Registration, and Insurance Disclosure

Explanation: TRID stands for TILA-RESPA Integrated Disclosure. It refers to the CFPB rule (effective October 3, 2015) that combined TILA and RESPA disclosures into two forms: the Loan Estimate (replacing the GFE and early TIL) and the Closing Disclosure (replacing the HUD-1 and final TIL).

Q53: When must a lender provide the 'Your Home Loan Toolkit' booklet to loan applicants?

- A. At closing only
- ✓ **B. Within 3 business days of receiving an application for a purchase money mortgage**
- C. Only for first-time homebuyers
- D. Only for FHA and VA loans

Explanation: Under RESPA, lenders must provide the CFPB's 'Your Home Loan Toolkit' (formerly the HUD booklet) within 3 business days of receiving an application for a purchase money mortgage secured by a 1-4 family dwelling. It does NOT apply to refinances.

Q54: What is 'flood insurance' and when is it required for mortgage loans?

- A. Insurance required for all homeowners in the US
- ✓ **B. Federal flood insurance required when the property is in a federally designated Special Flood Hazard Area (SFHA)**
- C. Insurance required when the LTV exceeds 90%
- D. Insurance required only for VA loans near water

Explanation: Flood insurance through the National Flood Insurance Program (NFIP) is required for properties located in Special Flood Hazard Areas (SFHAs) when the mortgage is federally backed or made by a federally regulated lender. Lenders must determine flood zone status before closing.

Q55: What is a 'correspondent lender'?

- A. A lender that corresponds (communicates) with Fannie Mae
- ✓ **B. A lender that originates and funds loans using their own capital, then sells them to larger investors or banks**
- C. A bank that only lends in one geographic area
- D. A lender that only offers correspondent (communication) banking

Explanation: A correspondent lender originates loans, funds them with its own capital, and then sells them to larger investors (like banks or GSEs) on the secondary market. Correspondents act as full lenders but typically lack the scale to service loans long-term and use their capital to fund and then sell.

Q56: What is a 'mortgage broker' versus a 'mortgage banker'?

- A. A mortgage broker lends their own money; a mortgage banker uses investor funds
- ✓ B. A mortgage broker connects borrowers with lenders and is paid a fee but does not fund the loan; a mortgage banker originates and funds loans with their own capital
- C. Both provide the same services — the terms are interchangeable
- D. A mortgage broker works for banks; a mortgage banker works independently

Explanation: A mortgage broker acts as an intermediary between borrowers and lenders, facilitating the loan but not funding it. The broker earns a fee (origination fee or yield spread). A mortgage banker originates and funds loans using its own capital (warehouse line), then sells them.

Section 3: Loan Origination Activities

Q57: What is a 'warehouse line of credit'?

- A. A line of credit for construction projects
- ✓ B. A short-term credit facility used by mortgage bankers to fund mortgage loans before they are sold on the secondary market
- C. A credit line secured by warehouse inventory
- D. A line of credit for property rehabilitation

Explanation: A warehouse line of credit is a revolving credit facility extended to mortgage bankers. They 'warehouse' (temporarily hold) funded loans on the credit line until they are sold to investors on the secondary market. This allows mortgage bankers to fund multiple loans simultaneously.

Q58: What is a 'wet signature' in mortgage closings?

- A. A signature applied while the ink is still wet from a stamp
- ✓ B. An original ink signature on a physical document, as opposed to an electronic signature
- C. A signature on a document relating to flood insurance
- D. A signature provided in the presence of a notary

Explanation: A wet signature refers to an original ink signature on a physical document. Some states and investors require wet signatures on certain mortgage documents (like the promissory note). Electronic signatures (e-signatures) are alternatives accepted for many documents under the E-SIGN Act and UETA.

Q59: What is 'simultaneous closing' in a purchase transaction?

- A. When two loans close on the same day for the same borrower
- ✓ B. When a purchase transaction and the sale of the buyer's current home close at the same time, coordinated to avoid bridge financing
- C. When two buyers jointly close on the same property
- D. A closing that happens instantaneously

Explanation: A simultaneous closing coordinates two separate transactions: the sale of the buyer's current home and the purchase of their new home, both closing on the same day. This eliminates the need for bridge financing by using the proceeds from the home sale to fund the new purchase.

Q60: What is an 'open-end mortgage'?

- A. A mortgage with no fixed payoff date
- ✓ B. A mortgage secured by the property that allows the borrower to borrow up to the original mortgage amount again as the loan is paid down (like a HELOC structure)
- C. A mortgage open to any borrower
- D. An ARM with unlimited adjustment capacity

Explanation: An open-end mortgage allows the borrower to borrow up to the original mortgage amount as the balance is paid down, similar to a revolving credit line but secured by a real estate mortgage. HELOCs are the most common modern form of open-end mortgage credit.

Q61: What is 'dual agency' and why is it relevant to mortgage lending?

- A. A mortgage broker representing both the lender and borrower simultaneously — generally prohibited in this context
- ✓ B. In real estate, where a single agent represents both buyer and seller; in mortgage context, it raises conflict of interest concerns when one company provides both real estate and mortgage services
- C. Two different loan officers sharing a single application
- D. A loan with two equal co-borrowers

Explanation: In real estate, dual agency occurs when one agent represents both buyer and seller. In the mortgage context, when the same company provides both real estate brokerage and mortgage services, there are potential conflicts of interest. RESPA's affiliated business arrangement provisions govern these relationships.

Q62: What is a 'Truth in Lending' (TIL) disclosure box?

- A. A secure container for loan documents
- ✓ B. A standardized box on the Loan Estimate/Closing Disclosure showing key terms: APR, finance charge, amount financed, and total of payments
- C. A disclosure specific to California
- D. The interest rate lock agreement

Explanation: The TIL disclosure box is a standardized format required by TILA showing key credit information: Annual Percentage Rate (APR), Finance Charge (total cost of credit in dollars), Amount Financed (loan amount minus prepaid finance charges), and Total of Payments (total amount paid over the loan's life).

Q63: What is the significance of a 'rate sheet' in mortgage origination?

- A. A document the borrower fills out to request a rate
- ✓ B. A pricing guide used by MLOs showing available interest rates and points for different loan types, terms, and credit profiles on a given day
- C. A legal document binding the lender to a specific rate
- D. A regulatory document required by TRID

Explanation: A rate sheet is a pricing tool showing the available interest rates, points, and credits for various loan programs based on factors like LTV, credit score, loan type, and term. MLOs use rate sheets to quote pricing to borrowers. Rate sheets change daily (or more frequently) based on market conditions.

Q64: What is a 'prepayment penalty'?

A. A fee paid to obtain a lower rate

✓ **B. A fee charged by a lender when a borrower pays off the loan early or makes large principal payments within a specified period**

C. A penalty for late payments

D. A fee for the lender to prepare payoff documents

Explanation: A prepayment penalty is a fee charged if the borrower pays off the loan (through refinancing or sale) or makes large extra principal payments within a specified period. Dodd-Frank significantly restricts prepayment penalties on Qualified Mortgages (generally prohibited after 36 months).

Q65: In the closing process, what is the role of a 'title company'?

A. To lend money directly to borrowers

✓ **B. To conduct a title search, issue title insurance, act as a neutral escrow agent, and coordinate the closing**

C. To appraise the property

D. To verify the borrower's employment

Explanation: Title companies perform the title search to check for defects, issue title insurance policies (lender's and owner's), act as a neutral escrow holder during closing, coordinate document collection and disbursement, and often serve as the closing/settlement agent who ensures all conditions are met.

Q66: What is 'property flipping' fraud in mortgage lending?

A. Legally buying and reselling a renovated property for profit

✓ **B. An illegal scheme where a property is purchased and quickly resold at an inflated price using a fraudulent appraisal to defraud the lender**

C. Refinancing a property multiple times

D. Converting a residential property to commercial use

Explanation: Property flipping fraud (illegal flipping) involves purchasing a property and quickly reselling it at an artificially inflated price supported by a fraudulent appraisal, with the lender unknowingly lending against the inflated value. The original buyer and appraiser often conspire to defraud the lender.

Q67: What is 'churning' in mortgage lending?

A. Processing many loans quickly

✓ **B. Repeatedly refinancing borrowers to generate origination fees without meaningful benefit to the borrower**

C. Investing mortgage proceeds in the stock market

D. Rotating borrowers between different loan programs

Explanation: Churning involves repeatedly encouraging borrowers to refinance their mortgages, primarily to generate fees for the MLO/lender. Each refinance costs the borrower thousands in fees while providing little or no benefit. This is a predatory practice that violates UDAAP and ethical standards.

Q68: What ethical standard applies to an MLO regarding the privacy of borrower information?

- A. No special obligation — information can be freely shared
- ✓ **B. The MLO must protect the borrower's non-public personal information (NPI) per the Gramm-Leach-Bliley Act and ethical standards, only using it for the transaction's purpose**
- C. Information can be shared with family members
- D. Only credit scores must be kept confidential

Explanation: Under the Gramm-Leach-Bliley Act (GLBA) and ethical standards, MLOs must protect borrowers' non-public personal information (NPI), including financial data, credit information, and personal details. NPI should only be used for the purposes for which it was collected and not shared without the borrower's consent.

Q69: What is the appropriate action when an MLO suspects that the property's value has been improperly influenced by the buyer or seller (appraisal fraud)?

- A. Complete the transaction since the appraiser is responsible
- ✓ **B. Report the concern to the lender's compliance department and potentially file a SAR**
- C. Confront the appraiser directly
- D. Order a second appraisal at the borrower's expense

Explanation: If an MLO suspects appraisal fraud, they should: (1) not proceed with a loan based on a known fraudulent appraisal, (2) report the concern to the lender's compliance/fraud department, and (3) potentially file a Suspicious Activity Report (SAR). Participating in or ignoring known fraud makes the MLO complicit.

Q70: What is 'reverse redlining'?

- A. The opposite of redlining — lending generously in minority areas
- ✓ **B. Specifically targeting minority or low-income borrowers with high-cost, predatory loan products**
- C. Offering lower rates in previously redlined areas to compensate
- D. Refusing to lend in previously overserved areas

Explanation: Reverse redlining involves targeting minority or low-income communities — the same groups historically excluded by redlining — with high-cost, abusive, or predatory loan products. Rather than refusing to serve these communities, reverse redlining exploits them.

Q71: An MLO receives a referral from their brother-in-law, who is a real estate agent. The agent expects reciprocal loan referrals. This is:

- A. Acceptable as it is a family relationship
- ✓ **B. A violation of RESPA Section 8 if there is an exchange of value or mutual referral arrangement**
- C. Acceptable as long as no money changes hands
- D. Required by NMLS to disclose in annual renewal

Explanation: RESPA Section 8 prohibits mutual referral arrangements where MLOs and real estate agents exchange referrals as a form of compensation, even among family members. If the expectation is that referrals will be reciprocated as a quid pro quo, this constitutes a prohibited referral fee arrangement.

Q72: What is 'air loans' (or fictitious loans) as a mortgage fraud scheme?

- A. Loans for properties in locations with high air quality
- ✓ **B. Fraudulent loans created entirely from fabricated documents for properties that do not exist or are not being purchased**
- C. Loans secured by aircraft
- D. Loans with no collateral requirements

Explanation: Air loans (fictitious/phantom loans) involve creating entirely fraudulent mortgage files using invented borrowers, properties, and transactions. Criminals use fake documents to obtain loan proceeds with no real collateral. This is pure fraud for profit, entirely fabricated.

Q73: An MLO who 'cherry-picks' borrowers by only working with certain racial or ethnic groups (even if the intent is to help that group) is:

- A. Committing legal affirmative action
- ✓ **B. Engaging in a form of discrimination that violates the Fair Housing Act and ECOA by treating borrowers differently based on protected class**
- C. Following ethical practices of serving their community
- D. Exempt from fair lending laws if the intent is beneficial

Explanation: Treating borrowers differently based on race or ethnicity — even with good intentions — violates the Fair Housing Act and ECOA. The anti-discrimination laws require equal treatment regardless of race or ethnicity. Lenders must serve all qualified borrowers equally.

Q74: What are an MLO's obligations when advertising mortgage products?

- A. No regulatory requirements apply to mortgage advertising
- ✓ **B. Comply with Regulation Z advertising requirements, state advertising rules, and ensure all claims are truthful and not misleading**
- C. Only disclose the interest rate when advertising
- D. Only advertise through approved channels

Explanation: MLOs must comply with Regulation Z advertising rules (requiring specific disclosures when triggering terms are used), state-specific advertising regulations, the NMLS ID disclosure requirement in advertising, fair lending laws (no discriminatory advertising), and general truth-in-advertising standards.

Q75: What is 'identity fraud' in the mortgage context?

- A. Using a fake property address on an application
- ✓ **B. Using another person's personal information without their consent to obtain a mortgage**
- C. Providing false employment information
- D. Using a different name professionally

Explanation: Identity fraud in mortgage lending involves using another person's name, Social Security number, credit history, and other personal information without their consent to obtain a mortgage. The victim is unaware their identity has been compromised until they discover the fraudulent loan.

Q76: What does it mean to 'cure' a TRID tolerance violation?

A. Correcting an error in the appraisal

✓ **B. Refunding to the borrower the amount by which a fee exceeded the applicable tolerance within 60 calendar days after consummation**

C. Correcting a borrower's credit score

D. Cancelling the loan application

Explanation: When a fee on the Closing Disclosure exceeds the applicable tolerance from the Loan Estimate, the lender may 'cure' the violation by refunding the excess amount to the borrower within 60 calendar days of consummation. This restores compliance with TRID tolerance requirements.

Q77: What is 'mortgage servicing fraud'?

A. Originating a loan with false information

✓ **B. Misapplying payments, improper force-placed insurance, unauthorized fees, or wrongful foreclosure practices by loan servicers**

C. Selling a mortgage-backed security at an incorrect price

D. Filing inaccurate HMDA data

Explanation: Mortgage servicing fraud involves improper practices by loan servicers, including: misapplying borrower payments, imposing unauthorized fees, force-placing insurance when coverage already exists, failing to credit payments timely, and improper foreclosure proceedings.

Q78: A consumer claims they were charged undisclosed fees by an MLO. Where should they file a complaint?

A. Only with their state court

✓ **B. With the state mortgage regulatory authority and/or the CFPB**

C. With Fannie Mae or Freddie Mac

D. With their local real estate association

Explanation: Consumers can file complaints about MLO conduct with: (1) the state mortgage regulatory authority that licensed the MLO, (2) the CFPB's Consumer Complaint Database, (3) HUD for fair lending issues, and (4) the state attorney general. Multiple agencies may investigate.

Q79: Under state licensing law, what is a 'net branch' arrangement?

A. A branch office of a bank

✓ **B. An arrangement where an MLO operates as an independent entity under a lending company's license, which is often regulated or prohibited due to compliance concerns**

C. A satellite office within the same city

D. A branch with less than 5 employees

Explanation: Net branch arrangements involve MLOs operating quasi-independently under a mortgage company's license, with the MLO receiving net proceeds after expenses. Many states heavily regulate or prohibit these arrangements because they can create unlicensed mortgage activity and compliance risks.

Q80: What is 'dual licensure' for MLOs?

- A. Holding an MLO license in two states simultaneously
- ✓ **B. Holding both an MLO license and a real estate license — which some states restrict or regulate**
- C. Having both a state license and federal registration
- D. Holding licenses as both a mortgage banker and broker

Explanation: Dual licensure refers to holding both an MLO license and a real estate agent/broker license simultaneously. Some states prohibit this combination (to prevent conflicts of interest), others allow it with restrictions, and some permit it freely with proper disclosure.

Q81: Under NMLS, when must an MLO disclose a new criminal charge or conviction?

- A. Only at annual renewal
- ✓ **B. Within 30 days of the charge or conviction, as a material change requiring prompt updating of NMLS records**
- C. Only if convicted
- D. At the next renewal cycle

Explanation: Material changes, including new criminal charges, convictions, regulatory actions, or bankruptcy filings, must be reported to NMLS promptly — typically within 30 days. Failing to update NMLS with material changes can itself be grounds for disciplinary action.

Q82: What is the significance of the 'NMLS Unique Identifier' (NMLS ID) for consumers?

- A. It indicates the MLO's credit score
- ✓ **B. It allows consumers to verify the MLO's license status, history, and any regulatory actions through NMLS Consumer Access**
- C. It shows the MLO's years of experience
- D. It is the MLO's tax identification number

Explanation: The NMLS ID enables consumers to research an MLO on NMLS Consumer Access (nmlsconsumeraccess.org), where they can verify license status, see employment history, and check for regulatory actions. This transparency protects consumers and holds MLOs accountable.

Q83: Under most state laws, who is responsible for ensuring MLOs are properly licensed before allowing them to originate loans?

- A. Only the individual MLO
- ✓ **B. Both the employing mortgage company and the individual MLO — the company must verify and sponsor only properly licensed MLOs**
- C. Only the state licensing authority
- D. Only Fannie Mae and Freddie Mac

Explanation: Both the individual MLO and the employing mortgage company share responsibility. The mortgage company must verify that MLOs are properly licensed in each state where they will originate and must properly sponsor them in NMLS. Operating unlicensed MLOs can result in license action for both the individual and the company.

Q84: What is the primary purpose of state MLO licensing beyond the SAFE Act minimum requirements?

A. To generate state revenue through license fees

✓ **B. To provide additional consumer protections specific to that state's mortgage market, including state-specific education, testing, and compliance requirements**

C. To restrict competition among mortgage companies

D. To set maximum interest rates in the state

Explanation: States may impose requirements beyond the SAFE Act minimums to address their specific market conditions and consumer protection needs. These may include additional education hours (including state law), state-specific exam components, higher minimum scores, or additional background check standards.

Q85: What does 'inactive status' versus 'expired status' mean for an MLO license?

A. They mean the same thing — the MLO cannot originate

✓ **B. Inactive means no current employer sponsorship (can be reactivated quickly); expired means the renewal deadline was missed (requires reinstatement process)**

C. Inactive means the MLO failed CE; expired means they passed

D. Only expired licenses require action — inactive licenses are still usable

Explanation: An inactive license in NMLS means the MLO lacks current employer sponsorship but the license is otherwise in good standing — it can be reactivated when a new employer sponsors them. An expired license means the annual renewal was not completed; reinstatement requires completing CE, paying fees, and meeting state requirements.

Q86: Can a federally registered MLO (bank employee) originate loans for a separate company they own?

A. Yes, as long as they register the second company

✓ **B. Generally no — registered MLOs' registration is tied to their federally regulated employer and they cannot use it to operate an independent mortgage business**

C. Yes, as long as they disclose it on their NMLS record

D. Only for loans under \$100,000

Explanation: A registered MLO (bank employee) is registered through NMLS to work for their federally regulated employer. They cannot use their bank registration to operate an independent mortgage business outside the bank. To originate on their own, they would need to obtain a state MLO license separately.

Section 4: Ethics

Q87: What is the purpose of the 'Mortgage Call Report' (MCR) submitted through NMLS?

A. A report to the borrower about their loan status

✓ **B. A quarterly or annual financial report submitted by non-bank mortgage companies to state regulators through NMLS, showing loan volume, revenue, and financial condition**

C. A report to the Federal Reserve about mortgage rates

D. A report about fraud activities

Explanation: The Mortgage Call Report (MCR) is a NMLS-based report that non-bank mortgage companies must submit to state regulators quarterly and annually. It includes data on loan origination volume, financial condition, net worth, and other metrics regulators use to monitor company health and compliance.

Q88: The Dodd-Frank Wall Street Reform and Consumer Protection Act was signed into law in:

- A. 2008
- B. 2009
- ✓ C. 2010
- D. 2012

Explanation: The Dodd-Frank Act was signed into law by President Obama on July 21, 2010, in response to the 2008 financial crisis. It created the CFPB, established the ATR/QM rule, and significantly reformed mortgage lending regulations.

Q89: Under BSA/AML requirements, which statement is TRUE about 'tipping off' a subject of a SAR?

- A. Tipping off is encouraged to give the person a chance to explain
- ✓ B. Tipping off is a federal crime that can result in criminal penalties for the institution and individual
- C. Tipping off is only prohibited for banks, not non-bank lenders
- D. Tipping off is permissible if it occurs after the SAR is filed

Explanation: Federal law (31 U.S.C. 5318(g)(2)) explicitly prohibits notifying any person involved in a suspicious transaction that a SAR has been filed. Violation of this 'tipping off' prohibition can result in criminal prosecution and significant fines.

Q90: Under TILA, a 'closed-end' credit transaction means:

- A. The credit line can be drawn repeatedly up to a maximum limit
- ✓ B. The consumer receives a fixed amount of credit that is repaid over a specific schedule with a fixed end date
- C. The loan can only be used for closed (completed) properties
- D. The transaction is closed to new borrowers after 30 days

Explanation: Closed-end credit is a single loan with a defined amount, repayment schedule, and end date — like a traditional mortgage. Open-end credit (like a HELOC or credit card) can be drawn and repaid repeatedly up to a credit limit.

Q91: Which of the following is an example of 'structuring' under the Bank Secrecy Act?

- ✓ A. A borrower who makes separate \$4,000 cash deposits on multiple days to avoid triggering the \$10,000 CTR requirement
- B. A borrower who organizes their finances into multiple accounts
- C. A lender who structures loan payments over time
- D. A title company that structures closing costs into multiple fees

Explanation: Structuring (also called 'smurfing') is breaking up cash transactions specifically to avoid the \$10,000 CTR threshold. Structuring is a federal crime under 31 U.S.C. 5324, regardless of the legality of the underlying funds.

Q92: Under Dodd-Frank, the Financial Stability Oversight Council (FSOC) was created to:

- A. Regulate individual mortgage loans
- ✓ B. Identify and respond to systemic risks to the U.S. financial system
- C. Replace the Federal Reserve
- D. Provide consumer financial education

Explanation: FSOC was created by Dodd-Frank to identify risks to U.S. financial stability, monitor the financial services marketplace, and coordinate the regulatory response to systemic risks. It includes the heads of major financial regulatory agencies.

Q93: Under RESPA, the term 'settlement service' includes all of the following EXCEPT:

- A. Title insurance
- B. Appraisal services
- ✓ C. The real estate agent's sales commission
- D. Home inspection services paid by the buyer

Explanation: RESPA covers settlement services related to the loan transaction (title, appraisal, hazard insurance, etc.). Real estate agents' commissions for selling the property are not settlement services under RESPA — they are part of the property transaction, not the lending transaction.

Q94: Which of the following describes a 'piggyback loan' or '80-10-10' structure?

- A. Three separate loans for a single property purchase
- ✓ B. A first mortgage for 80% LTV, a second mortgage for 10%, and a 10% cash down payment
- C. A single loan split between two lenders
- D. A loan structure exclusive to FHA properties

Explanation: An 80-10-10 piggyback structure uses a first mortgage (80% LTV), a second mortgage or HELOC (10%), and a 10% down payment to avoid PMI and keep the first mortgage conforming. It allows buyers to purchase with less than 20% down without PMI.

Q95: The 'note rate' on an ARM during the initial fixed-rate period is typically:

- A. Equal to the fully indexed rate
- ✓ B. Below the fully indexed rate (the 'teaser' rate)
- C. Always the same as a comparable fixed-rate loan
- D. Set by the Federal Reserve

Explanation: ARM loans often have initial rates (teaser rates) below the fully indexed rate (index + margin) to attract borrowers. After the fixed period, the rate adjusts to near the fully indexed rate, which can cause 'payment shock.'

Q96: A 'blanket mortgage' covers:

- A. Only the primary residence of the borrower
- ✓ B. Multiple properties under a single mortgage lien
- C. All personal property in addition to real estate
- D. Properties in multiple states

Explanation: A blanket mortgage (or blanket loan) encumbers multiple properties under a single deed of trust or mortgage. They are commonly used by developers and investors who want to finance multiple properties with one loan.

Q97: The 'principal' in a mortgage refers to:

- A. The interest accrued over the loan term
- ✓ B. The original loan amount borrowed, which decreases as payments are made
- C. The borrower's primary residence
- D. The lender's profit on the transaction

Explanation: Principal is the original amount borrowed. With each mortgage payment, a portion goes to interest and the remainder reduces the principal balance. Over time (due to amortization), the interest portion decreases and the principal reduction portion increases.

Q98: Which of the following is TRUE about USDA Rural Development loan income limits?

- A. There are no income limits for USDA loans
- ✓ **B. Income limits are set at 115% of the area median income (AMI) for the household size**
- C. Borrowers must earn below 80% of AMI to qualify
- D. Income limits only apply to the borrower, not household members

Explanation: USDA Rural Development (Section 502 Guaranteed) loan program has income limits of 115% of the area median income (AMI) for the household size. All household members' incomes count, not just the applicants'. This ensures the program serves moderate-income households.

Q99: Which of the following describes a 'construction-to-permanent' loan?

- A. A loan that converts from a commercial to a residential mortgage
- ✓ **B. A loan that finances construction and then converts to a long-term mortgage upon completion**
- C. A loan from a construction company to a homebuilder
- D. A mortgage that requires the property to be newly constructed

Explanation: A construction-to-permanent loan (or single-close construction loan) finances the construction of a new home and then converts to a permanent long-term mortgage upon project completion. It eliminates the need for separate construction and permanent financing.

Q100: The 'three-day rule' for the Closing Disclosure (CD) under TRID requires the borrower to receive the CD at least 3 business days before consummation. For CD delivery, 'business days' means:

- A. Monday through Friday only
- ✓ **B. All calendar days except Sundays and federal public holidays**
- C. All calendar days including weekends
- D. Only federal working days

Explanation: For TRID CD delivery purposes, 'business days' means all calendar days except Sundays and federal public holidays. This is the same broad definition used for the Loan Estimate delivery. Saturdays count as business days.

Q101: Under Fannie Mae guidelines, a borrower's monthly debt ratio is calculated using:

- A. Net monthly income after taxes
- ✓ **B. Gross monthly income before deductions**
- C. Monthly income after retirement contributions
- D. Annualized quarterly income divided by 12

Explanation: DTI ratios use gross monthly income (before taxes and deductions). This is the pre-tax, pre-deduction monthly income from all qualifying sources. Using gross income is standard for conventional, FHA, VA, and USDA loan qualifying.

Q102: A 'junior lien' or 'subordinate mortgage' is one that:

- A. Has priority over the first mortgage in foreclosure
- ✓ **B. Is recorded after and has a lower lien priority than the first mortgage**
- C. Is a smaller loan than the first mortgage
- D. Is only available to first-time homebuyers

Explanation: A junior (subordinate) lien has lower priority than the first mortgage. In foreclosure, the first mortgage is paid first from sale proceeds. Second mortgages, HELOCs, and other subordinate liens are paid only if funds remain after the first mortgage is satisfied.

Q103: A 'good faith estimate' of charges was replaced under TRID by the:

- A. Closing Disclosure
- ✓ **B. Loan Estimate**
- C. HUD-1 Settlement Statement
- D. RESPA Booklet

Explanation: TRID (effective October 3, 2015) replaced the GFE (Good Faith Estimate) with the Loan Estimate. The HUD-1 Settlement Statement was replaced by the Closing Disclosure. The GFE and HUD-1 are no longer used for most residential mortgage transactions.

Q104: Under TRID's 'zero tolerance' category, an increase in which of the following fees from the Loan Estimate to the Closing Disclosure is NOT allowed?

- A. Title insurance premiums
- B. Recording fees
- ✓ **C. Lender origination charges**
- D. Transfer taxes

Explanation: Section A (lender origination charges) on the LE has zero tolerance — they cannot increase from LE to CD. Recording fees and transfer taxes (Section E) have a 10% aggregate tolerance. Title insurance has no tolerance limit when the borrower can shop.

Q105: An MLO who submits a loan application knowing it contains inaccurate employment information is guilty of:

- A. A minor compliance violation requiring a correction only
- ✓ **B. Mortgage fraud — a federal felony**
- C. An administrative error that can be corrected at closing
- D. A TRID disclosure violation

Explanation: Knowingly submitting false information on a mortgage application violates 18 U.S.C. 1014 (false statements to financial institutions) and 18 U.S.C. 1344 (bank fraud). These are federal felonies with serious criminal penalties.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: Under UDAAP, an act is considered 'unfair' if it:

- A. Results in any consumer complaint to the CFPB
- ✓ **B. Causes or is likely to cause substantial injury to consumers that they cannot reasonably avoid and that is not outweighed by countervailing benefits**
- C. Is technically legal but unpopular
- D. Results in higher fees than competitors charge

Explanation: UDAAP's three-part test for 'unfairness' requires: (1) substantial injury to consumers, (2) that they could not reasonably avoid, and (3) not outweighed by countervailing benefits to consumers or competition. All three elements must be present.

Q107: A mortgage company that targets elderly homeowners with high-equity homes for reverse mortgages they cannot understand or use effectively is engaging in:

- A. Legitimate senior-targeted marketing
- ✓ **B. Predatory lending — exploiting a vulnerable population**
- C. Required FHA marketing practices
- D. Fair and appropriate outreach

Explanation: Targeting vulnerable populations (elderly, low-income, minority) with complex financial products they cannot understand or do not benefit from is predatory lending. Reverse mortgages have legitimate uses but can be predatory when misapplied.

Q108: An MLO who is also a licensed real estate agent may:

- A. Never represent a client in both capacities on the same transaction due to per se conflicts of interest
- ✓ **B. Potentially represent a client in both capacities if state law permits and both roles are properly disclosed**
- C. Always be compensated for both roles without any limitations
- D. Only act as one or the other, never both in any state

Explanation: Some states permit an individual to hold both an MLO and real estate agent license, but dual representation (acting as both on the same transaction) is heavily regulated and may require specific disclosures, consents, or be prohibited by state law.

Q109: Under the SAFE Act, the minimum background check for state MLO licensure includes:

- A. Credit check only
- ✓ **B. Criminal background check via fingerprinting through the FBI and state criminal repository**
- C. Reference letters from former employers
- D. Drug testing

Explanation: The SAFE Act requires MLO applicants to submit fingerprints for FBI criminal background checks (and state criminal repository checks). This ensures that MLOs with disqualifying criminal histories are identified before licensure.

Q110: When an MLO's license is 'suspended,' it means:

- A. The license has been permanently revoked
- ✓ **B. The license is temporarily inactive — the MLO cannot originate loans during the suspension period**
- C. The MLO can continue originating with supervisor oversight
- D. The license renewal has been delayed but the MLO can continue working

Explanation: A suspended license is temporarily inactive. During the suspension period, the MLO cannot originate mortgage loans. Suspension is typically an administrative sanction that may be lifted once the underlying issue is resolved.

Q111: NMLS record-keeping requirements for state-licensed MLOs generally require retention of loan application and related documents for a minimum of:

- A. 1 year
- B. 2 years
- ✓ C. 3 years
- D. 5 years

Explanation: While requirements vary by state, the SAFE Act and most state laws require MLOs and mortgage companies to retain loan files and related documents for at least 3 years. Some states require 5 years or longer. These records must be available for examination by state regulators.

Q112: Under the SAFE Act, a person qualifies as a 'registered' (rather than 'licensed') MLO when they:

- A. Have an NMLS number
- ✓ B. Are employed by a federally regulated depository institution (bank, credit union, Farm Credit System)
- C. Have completed all state licensing requirements
- D. Have been in the industry for more than 5 years

Explanation: The SAFE Act creates two categories: (1) state-licensed MLOs who work for non-bank lenders and must pass tests and meet education requirements, and (2) federally registered MLOs who work for federally regulated depository institutions and must register through NMLS but have a different (less stringent) pathway.

Q113: Which of the following conditions would NOT automatically disqualify an applicant from MLO licensure under the SAFE Act?

- A. Felony conviction for drug trafficking within the past 7 years
- B. Felony conviction involving fraud or breach of trust at any time
- ✓ C. Misdemeanor conviction for a non-financial crime 10 years ago
- D. Mandatory lifetime bar from association with financial institutions

Explanation: A non-financial misdemeanor from 10 years ago does not automatically disqualify an MLO applicant under the SAFE Act's mandatory disqualification criteria. State regulators still evaluate character and fitness, but non-financial misdemeanors are not automatic bars.

Q114: The continuing education requirement under the SAFE Act for a licensed MLO who is approved in multiple states is:

- A. 8 hours per state per year
- ✓ B. 8 hours total (federal minimum), with additional state-specific requirements possible
- C. 20 hours per year for multi-state licensees
- D. No CE required once licensed in one state

Explanation: The SAFE Act's minimum CE is 8 hours per year regardless of how many states an MLO is licensed in. Some states have additional requirements (extra state-specific hours), but the national component need only be completed once per year.

Q115: A state regulator conducting an examination of a licensed mortgage company discovers that an MLO originated 15 loans without having a valid license for 6 months. The company may face:

- A. No penalty if the MLO was previously licensed
- ✓ **B. Fines, restitution orders, and potential license action against the company for failure to supervise**
- C. Only an informal warning letter
- D. A maximum fine of \$100 per day

Explanation: Companies are responsible for ensuring their MLOs have valid licenses before allowing them to originate. Failure to supervise MLO licensing compliance can result in significant fines, restitution, and company license action.

Q116: Under NMLS standards, an MLO must update their MU4 record when which of the following occurs?

- A. Change in personal email address
- ✓ **B. A felony charge is filed (not yet convicted)**
- C. Change in personal phone number only
- D. Annual birthday

Explanation: MLOs must update their NMLS record when material changes occur, including criminal charges (not just convictions), regulatory actions, changes in employment, and changes in contact information used for the license. Felony charges require disclosure even before conviction.

Q117: Under the CRA (Community Reinvestment Act), which type of institution is subject to CRA evaluation?

- A. All mortgage companies regardless of size
- ✓ **B. Federally insured depository institutions (banks and savings institutions)**
- C. Insurance companies and REITs
- D. Mortgage brokers and non-bank lenders

Explanation: CRA applies to federally insured depository institutions (commercial banks and savings institutions). Non-bank mortgage companies, credit unions, and other non-depositories are not subject to CRA evaluations.

Q118: Under TRID, which of the following events would trigger the need for a revised Loan Estimate?

- A. A borrower's credit score drops by 5 points after application
- ✓ **B. A borrower changes the loan from adjustable-rate to fixed-rate**
- C. The appraiser charges \$50 more than estimated
- D. The title company changes the escrow officer

Explanation: A borrower-requested change to the loan product (such as changing from ARM to fixed) is a valid changed circumstance under TRID that permits the lender to issue a revised Loan Estimate with updated fees reflecting the new product.

Q119: The 'underwriting' process in mortgage lending involves:

- A. Advertising loan products to potential borrowers
- ✓ **B. Evaluating the creditworthiness of the borrower and the collateral to determine loan approval and terms**
- C. Disbursing loan funds at closing
- D. Servicing the loan after closing

Explanation: Mortgage underwriting is the risk assessment process where the underwriter evaluates the borrower's creditworthiness (the Three Cs: Character, Capacity, Collateral) against loan program guidelines to render an approval, conditional approval, or denial.

Q120: Which of the following best describes 'dual tracking' in mortgage servicing?

- A. Offering two different loan products simultaneously
- ✓ **B. Simultaneously pursuing foreclosure while a borrower is seeking a loan modification or other loss mitigation option**
- C. Processing two applications for the same borrower
- D. A marketing strategy using two separate advertising channels

Explanation: Dual tracking occurs when a servicer simultaneously pursues foreclosure proceedings while evaluating a borrower's loss mitigation application (loan modification, forbearance, etc.). The CFPB's mortgage servicing rules (Regulation X) restrict dual tracking to protect borrowers from this practice.
